

Once the merchandise is recovered, the creditor may choose to sell it and apply the proceeds against the outstanding debt. The difference between the loan balance and the sale proceeds is called a deficiency, and the creditor has the right to bill the debtor for that amount plus all costs associated with the repossession and sale.

Garnishment

In states that allow it, a creditor can petition the court to attach the wages of a debtor once a legal judgment has been issued. This can be a great shock to the unsuspecting debtor, as well as a source of great embarrassment. Unfortunately, it usually occurs at a time when everything else is going downhill financially. I remember the first time I encountered a garnishment.

A pastor asked me to meet with a young couple who were having severe financial difficulties. They had misused credit cards, department store loans, retail appliance loans, and so on. They were unable to meet all their obligations, and rather than face the creditors, they had taken the traditional ostrich approach. One of the creditors was a leasing company that specialized in rent-to-own contracts for furniture and appliances. Once their account was sixty days past due, the leasing company moved swiftly and received a judgment to repossess the furniture. They then resold the furniture for a ridiculously low price to the same company that had sold it originally and then sued the young couple for the deficiency, plus \$400 in collection fees.

The couple was sent notices that the company was filing suit but chose to ignore the warnings and did not go to court. Consequently, the company got a garnishment order and attached both of their salaries. It was a shock when the young wife's boss called her into his office and showed her the garnishment. The garnishment required that the employer withhold up to 25 percent of her wages to pay the judgment. For a family already having severe financial difficulties, that was a major crisis. The husband found that his wages were similarly attached.